MINGZHE LI

Financial Economics ◇ mingzheli@stu.shzu.edu.cn
School of Economics and Management, Shihezi University

EDUCATION

Shihezi University 2024-Present
M.F., *Expected Graduation: June 2027*

Sichuan University 2023
B.E. in Computer Science

WORKING PAPERS

Portfolio Choice for Heterogeneous Investors (June 17, 2025). *Available at SSRN 5303434*

Abstract: This paper proposes a portfolio choice model that explains a wide variety of investor behaviors in household finance, including limited participation, underdiversification, and hump-shaped risky share over the life cycle. The model introduces an asset-exposure premium (AEP) as the marginal welfare valuation of systematic risk, driven by the intertemporal risk preference to wealth that increases monotonically from zero at the borrowing constraint to the CRRA coefficient at infinite wealth. By evolving from a prohibitive welfare cost near the borrowing constraint to a welfare benefit and eventually vanishing at high wealth, the AEP naturally rationalizes these phenomena. The model posits a fundamentally intuition: households optimize portfolios based on the wealth-dependent welfare valuation of systematic versus idiosyncratic risk of assets.

WORK IN PROGRESS

Household Problem with Risk Heterogeneity: A Continuous-Time Framework (2026)

The Monotonicity of the Relative Risk Aversion (2026)

SEMINARS AND CONFERENCE

2026: NASM of the Econometric Society (waitlist)

RESEARCH PROJECT

Julia Implementation of ”Financial Frictions and the Wealth Distribution” (2024)

Abstract: Independent implementation and replication of the model in ”Financial Frictions and the Wealth Distribution, Fernández-Villaverde et al. (2023)” using Julia.

Open-Source Contribution for Modernization of ”Recursive Macroeconomic Theory” Codebase (2024) *Available at* GitHub Repository

Abstract: This repository contains Matlab solutions and updated functions from Ljungqvist & Sargent's textbook (2018, MIT) for compatibility with Matlab 2024+.

PERSONAL

Technical Skills
Julia, Matlab, Python, LaTeX

Languages
Chinese (Native proficiency), English (Fluent)

Last updated: April 8, 2026